# Olympiad Test Paper — Social Science (Class 7) — Paper 5

## Chapter 12: Understanding Markets

**Paper 5 — (progressively harder)**

| | |
|---|---|
| **Subject** | Social Science (NCERT Class 7) |
| **Chapter** | 12 — Understanding Markets |
| **Total Questions** | 60 (Multiple Choice, single correct) |
| **Maximum Marks** | 240 |
| **Suggested Time** | 90 minutes |

**Marking scheme:** **+4** for each correct answer · **−1** for each wrong answer · **0** if unattempted.

**Instructions:** Each question has four options (A), (B), (C), (D); exactly one is correct. Apex traps: a 'lowest price' can still be the WRONG choice once the seller's costs, quality assurance and re-stocking are weighed; demand and supply moving together require you to compare the SIZES of the two shifts, not just their directions; a clearing price must satisfy BOTH sides at once, so a table where two quantities are merely close is not enough; intermediaries add value only when they perform a real service (transport, storage, bulk-breaking), so a do-nothing reseller is NOT value-adding; certification marks must be matched to the exact domain (FSSAI food safety, ISI/BIS manufactured goods, AGMARK graded farm produce, BEE Star appliance energy) even when a scenario mixes several products; MRP is a ceiling not a floor; export/import direction must be read from whose goods cross the border; and a 'melting-pot' social role does not erase the economic buyer-seller-price core. Do not write on this paper — mark answers on your answer sheet.

---

**1.** Seller P prices a litre of milk at 48 rupees (her cost is 44) and carries the FSSAI mark; Seller Q offers it at 41 rupees but his cost is 45 and he carries no certification. A careful buyer who has read this chapter should reason that:

(A) Q is always the better buy because 41 rupees is the lowest number shown
(B) P is wrong to charge above her cost, since a fair price must exactly equal cost with no margin
(C) the certification marks are irrelevant once a buyer has compared the two prices
(D) Q's price is below his own cost, so he cannot keep selling for long, and his milk lacks the safety assurance P's carries; P's slightly higher but sustainable, certified price is the wiser buy

**2.** A table shows: at 12 rupees buyers want 600 and sellers offer 250; at 24 rupees buyers want 360 and sellers offer 360; at 36 rupees buyers want 200 and sellers offer 520. A student picks 12 rupees 'because buyers want the most there.' The clearing price and the flaw in the student's logic are:

(A) 12 rupees is correct because the price where buyers want the most is always the market price

(B) 36 rupees is the clearing price because there sellers offer the most

(C) 24 rupees is the clearing price because there the quantity demanded equals the quantity supplied; the student wrongly looked only at the buyers' side and ignored that at 12 rupees sellers offer far less than buyers want

(D) no clearing price exists because the quantities are never exactly equal at any row

**3.** In a town, both the number of woollen-shawl buyers and the number of shawls available FALL as winter ends, but the supply falls much more steeply than demand. The most accurate prediction for the shawl price is:

(A) the price tends to fall, because the number of buyers went down

(B) the price stays exactly the same, because both sides fell together

(C) the price tends to rise, because supply shrank more than demand did, so the remaining buyers chase an even smaller stock

(D) the price drops to zero, because shawls are out of season

**4.** A factory sells a fan to a wholesaler for 800 rupees; the wholesaler sells it to a retailer for 980; the retailer sells it to a customer for 1,160. Of the 360-rupee total rise, the wholesaler's added margin and the retailer's added margin are:

(A) the whole 360 rupees is added by the retailer alone, since the wholesaler adds nothing

(B) 360 rupees of pure overcharging that adds no value at any stage

(C) a single 360-rupee government tax charged once between factory and customer

(D) 180 rupees added by the wholesaler and 180 rupees added by the retailer, each covering that trader's handling, storage or bulk-breaking plus a margin

**5.** A buyer reasons: 'Onions are a basic need, so when they grow scarce their price should fall, because people must be allowed to afford a need.' Why is this reasoning wrong?

(A) the reasoning is right, because the price of any basic need always falls when it becomes scarce

(B) the reasoning is wrong only because onions are actually a want, not a need

(C) the reasoning is right, because the government always makes scarce needs free

(D) being a need does not freeze the price; scarce supply against unchanged demand pushes the price UP regardless of whether the good is a need or a want

**6.** Trader X buys 1,000 kg of apples from an orchard, trucks them 400 km, cold-stores them for two months and sells them in 2-kg lots; Trader Y buys a crate in the morning and resells the very same crate, unmoved and unstored, to the next person an hour later at a higher price. Comparing them on value added:

(A) both add equal value, because both ended up selling at a higher price than they paid

(B) Y adds more value, because Y completed the resale faster than X

(C) X adds real value through transport, storage and bulk-breaking, so X's higher price reflects genuine service, whereas Y adds little or no value and mainly raises the price

(D) neither adds value, because every intermediary is by definition useless

**7.** India sells tea to Sri Lanka and, in the same week, buys palm oil from Indonesia. Looking only at whose goods cross which border, these two transactions are, respectively:

(A) an import for India and an export for India, because oil is more valuable than tea

(B) two exports, because both involve India trading across a border

(C) an export for India (Indian tea leaving) and an import for India (foreign palm oil entering)

(D) two domestic sales, because India is involved in both

**8.** A government places a subsidy on a fertiliser AND, separately, a quality-certification requirement on it. A farmer asks what each measure does for him. The best paired answer is:

(A) the subsidy lowers the price he pays, making the fertiliser more affordable, while the certification assures him the fertiliser meets quality standards he cannot easily test himself

(B) both measures raise the price, since the government always charges farmers more

(C) the subsidy assures quality while the certification lowers the price

(D) both measures are taxes added at the point of sale

**9.** At a weekly haat a buyer offers 60 rupees for a basket the seller obtained for 85 rupees and is asking 120 for. The seller says she would rather carry it home unsold than take 60. The deepest reason her refusal makes economic sense is:

(A) she refuses because sellers must always reject the buyer's first offer as a rule

(B) she refuses because the law forbids selling below the asking price of 120

(C) she refuses because a cheap basket must be of poor quality

(D) 60 rupees is below her 85-rupee cost, so selling at 60 would lose her 25 per basket; refusing protects her from selling at a loss while she waits for an offer above her cost

**10.** A shopping app neither makes nor owns goods but lists many sellers; a wholesaler buys 5,000 units to resell to shops; a retailer sells single units to households. A buyer wanting to (i) compare many sellers at once and (ii) buy just one unit nearby tonight should turn to:

(A) the wholesaler for both, because wholesalers serve every kind of buyer

(B) the app for comparing many sellers in one place, and the retailer for buying a single unit conveniently nearby

(C) the app for both, because an app can also deliver single units in person at night

(D) the retailer for comparing sellers, and the wholesaler for the single unit

**11.** A new smartphone launches: demand is enormous but only a few are made daily, so the price is high. Over the next months the maker doubles daily output while demand stays the same, and a rival releases a similar phone. The price will most likely:

(A) rise further, because making more phones always pushes the price up

(B) fall, because supply rose sharply and a rival adds further supply while demand is unchanged, easing the earlier scarcity

(C) stay exactly at the launch price, because the launch price is fixed forever

(D) fall only if demand also collapses to zero

**12.** A street light, a chocolate bar and a privately rented bicycle are compared. Which is the public good, and what feature of it makes it so?

(A) the chocolate bar, because it is enjoyed by a person and enjoyment is public

(B) the street light, because everyone passing can use it and one person's use does not use it up for the next

(C) the rented bicycle, because anyone can rent it for a price

(D) all three, because anything used by people is a public good

**13.** A shopkeeper sells a juice pack with an MRP of 30 rupees. In summer he wants to charge 34; in a dull week he offers it at 26 to clear stock. Which pricing is allowed and which is not, and why?

(A) both are allowed, because a shop may set any price it likes regardless of MRP

(B) neither is allowed, because every seller must charge exactly the MRP

(C) 26 rupees is allowed because MRP is only a maximum, but 34 is not allowed because no consumer may be charged above the MRP

(D) 34 is allowed in summer because high demand lets a shop exceed the MRP

**14.** A shopper holds a packet of biscuits, an electric kettle and a sack of graded loose rice. To check, respectively, food safety, manufactured-goods quality and farm-produce grading, she should look for:

(A) AGMARK on the biscuits, FSSAI on the kettle and ISI/BIS on the rice

(B) FSSAI on the biscuits, ISI/BIS on the kettle and AGMARK on the rice

(C) ISI/BIS on the biscuits, AGMARK on the kettle and FSSAI on the rice

(D) BEE Star on the biscuits, ISI/BIS on the kettle and FSSAI on the rice

**15.** A farmer can either (i) sell 900 kg of tomatoes to a wholesaler at a low per-kg price or (ii) carry small lots to a weekend market and sell directly to families at a higher per-kg price, but doing the selling, transport and storage herself. The chapter's view of why she might still choose option (ii) is:

(A) because selling directly is required by law and the wholesale route is banned

(B) because removing intermediaries makes the tomatoes free for the families

(C) because a shorter chain automatically makes her tomatoes higher quality

(D) by cutting out some intermediaries she can keep a larger share of the final price, provided she can manage the selling, transport and storage steps herself

**16.** Assertion: An online aggregator that lists many restaurants but cooks nothing is still part of a market. Reason: A market is defined by buyers, sellers and a price meeting, not by who physically makes or owns the goods. Evaluate:

(A) the assertion is true but the reason is false, because a market needs the lister to own the goods

(B) the assertion is false, because only the cook can be part of a market

(C) both the assertion and the reason are true, and the reason correctly explains why the aggregator is part of a market

(D) both are false, because an online aggregator has no real prices

**17.** In one season demand for umbrellas doubles and the number made also doubles. In a second season demand triples while output only doubles. Comparing the price effects across the two seasons:

(A) in the first season the price changes little because demand and supply grew about equally, while in the second the price rises because demand outgrew supply

(B) the price rises in both seasons, because demand rose in both

(C) the price falls in both seasons, because supply rose in both

(D) the price is unchanged in both seasons, because both sides grew in both

**18.** A bakery makes its own bread and sells single loaves over its counter; a cloth firm in Surat weaves fabric that reaches a small-town shop only after passing through a wholesaler, a distributor and a retailer. The contrast best illustrates that:

(A) every good must pass through exactly the same number of intermediaries by law

(B) supply chains can be short when the maker sells directly, or long when goods must travel far and be broken into small amounts through several intermediaries

(C) long chains always cheat the buyer while short chains never do

(D) only factory goods can have a supply chain; handmade goods cannot

**19.** A vaccine is scarce during an outbreak and its price climbs. The government then both releases large stored stocks AND subsidises the vaccine. Compared with the scarce stage, the price a household pays will tend to:

(A) rise even higher, because releasing stocks and subsidising both push prices up

(B) stay locked at the scarce-stage price, because government action cannot move prices

(C) fall only because of the subsidy, with the released stocks having no effect

(D) fall, because the released stocks raise supply against steady demand and the subsidy further lowers the price the household pays

**20.** A consumer says: 'The Ima Keithal of Imphal is run by women and is a social meeting place, so it is not really a market.' The best correction is:

(A) it is both a market and a social meeting place; serving a cultural role does not remove its core of buyers, sellers and prices exchanging goods

(B) it is correct, because any place with a social role stops being a market

(C) it is correct, because a market cannot be run by women

(D) it is wrong only because the Ima Keithal is actually online

**21.** A region's mango orchards all ripen in the same fortnight, flooding the market while buyer numbers hold steady; many mangoes will rot if unsold quickly. The role that most directly turns this glut into steady year-round availability is:

(A) the consumer, who must buy the entire harvest at once to prevent waste

(B) the producer, who simply grows even more mangoes the same fortnight

(C) an exporter, who is the only person able to break the harvest into small lots

(D) a wholesaler or distributor who cold-stores the surplus so mangoes can be sold gradually long after the short harvest

**22.** A buyer compares two sellers of identical rice: Seller A prices it exactly where demand meets supply; Seller B prices it well above that point. A third seller, C, prices it below his own cost. Over a season, the most likely outcome is:

(A) B sells the most because a higher price always means more profit

(B) A sells steadily at a sustainable price, B sells little because buyers shift to A's fairer price, and C is forced to stop selling because he cannot keep losing money

(C) C sells forever because the lowest price always wins customers permanently

(D) all three sell equal amounts because price never affects how much buyers buy

**23.** A weekly haat, a permanent city bazaar, a once-a-year harvest fair and a daily online app all trade goods at prices. Which single grouping correctly separates the PERMANENT market from the rest?

(A) the haat is the permanent market because it appears every week

(B) the harvest fair is the permanent market because it returns every year

(C) none of them is a market because only shops inside malls count

(D) the city bazaar is the permanent market; the haat, the fair and even the daily app are periodic, seasonal or non-physical rather than permanent fixed-place daily complexes

**24.** Why does the government curb pollution from factories and markets even though pollution control can raise a factory's costs?

(A) to help factories pollute more cheaply so they can sell goods at lower prices

(B) to protect society and the environment, because the harm from unchecked pollution outweighs the inconvenience of higher factory costs

(C) to earn a profit by charging factories for the right to pollute as much as they like

(D) to ban all manufacturing in the country and shut every market

**25.** A buyer in Mumbai buys a handwoven shawl from a weaver in a remote Himalayan village through a website that displays the price, takes payment and arranges delivery, though the two never meet. The deepest market lesson is:

(A) markets, especially online ones, can link distant producers and consumers who would otherwise never meet, while still resting on buyers, sellers and an agreed price

(B) this is not a market because the buyer and seller never stood face to face

(C) this is not a market because the shawl was handmade rather than factory-made

(D) this is a market only because the government arranged the sale

**26.** A distributor moves goods across long distances to many scattered shops; a retailer sells small amounts to households; a wholesaler buys in bulk from makers to resell to shops; a consumer finally uses the good. In the chain producer to consumer, the correct order of these four roles between maker and user is:

(A) producer, then wholesaler, then distributor, then retailer, then consumer

(B) producer, then retailer, then distributor, then wholesaler, then consumer

(C) producer, then consumer, then wholesaler, then distributor, then retailer

(D) producer, then distributor, then consumer, then wholesaler, then retailer

**27.** A trader buys cloth in Surat for 90 rupees per metre and sells it in a distant town for 130 per metre after paying 22 per metre for transport and 6 per metre for storage. His actual margin per metre, and what it represents, are:

(A) 40 rupees per metre of pure profit, since the whole price rise is his to keep

(B) 28 rupees per metre, equal to the transport and storage costs alone

(C) 12 rupees per metre, representing his profit after covering the real costs of transport and storage that brought the cloth to the distant town

(D) zero, because traders are never allowed to make any profit

**28.** A student claims that a free swap of two equal sticker sets between friends, a barter of grain for cloth at an agreed rate in a village, and an online purchase with a displayed price are all markets. Which are actually markets, and why?

(A) the grain-for-cloth barter at an agreed rate and the online purchase are markets because each has buyers, sellers and an agreed price or rate of exchange, while the free swap with no price is not

(B) all three are markets, because any exchange of any kind between people is a market

(C) only the online purchase is a market, because a market must use money and the internet

(D) none is a market, because a market needs a permanent shop building

**29.** Two countries trade: Country A exports rice and imports machines; Country B exports machines and imports rice. From B's point of view, the rice arriving and the machines leaving are, respectively:

(A) an import for B (foreign rice entering B) and an export for B (B's machines leaving the country)

(B) an export for B and an import for B, because rice is a basic need and needs are exports

(C) two imports for B, because B is receiving the benefit of both deals

(D) two domestic sales for B, because B made the machines

**30.** If ALL wholesalers, distributors and retailers vanished, a city family wanting a single bar of soap would most likely face which situation?

(A) soap would become free because no intermediary remains to charge a price

(B) soap would arrive faster and cheaper at their door with no extra effort

(C) they would have to approach the producer directly and probably buy in bulk, which is costly and inconvenient for one small everyday item

(D) producers would hand-deliver a single free bar to every household

**31.** A festival day makes everyone want sweets while bakeries cannot make extra; the next day the festival ends, demand collapses, but the same number of unsold sweets remain. Across the two days the price most likely:

(A) falls on the festival day because more buyers always means cheaper goods, then rises the next day

(B) rises on the festival day as many buyers chase a fixed supply, then falls the next day as demand drops while supply stays put

(C) stays exactly the same on both days because the number of sweets never changed

(D) drops to zero on the festival day because demand is so high they are given away

**32.** A consumer wants to verify, before buying online, that a packaged snack is safe and that other buyers found it acceptable. The chapter says she should rely MOST on:

(A) only the brightness and noise of the advertisement on the page

(B) recognised certification marks like FSSAI, the label details, and genuine reviews from other buyers

(C) only the single lowest price shown among the sellers

(D) only the seller's own written promise that the snack is good

**33.** A wholesaler insists he may sell a packet below its MRP to clear stock, while a retailer insists every seller must charge exactly the MRP. Reading MRP correctly, who is closer to right?

(A) the retailer, because MRP is the single price every seller is required to charge exactly

(B) both, because MRP is simultaneously a maximum and a minimum price

(C) the wholesaler, because MRP is the maximum a consumer may be charged, not a fixed exact price, so selling below it is allowed

(D) neither, because MRP is a price that only the government may charge

**34.** Demand for hand sanitiser jumps fivefold during an outbreak while factories can only triple output; later the outbreak fades and demand returns to normal while the tripled output remains. The price across these two phases:

(A) falls in the outbreak because supply tripled, then rises afterward

(B) stays unchanged throughout because both demand and supply moved

(C) rises in the outbreak because demand grew more than supply, then falls afterward because demand shrank while the higher supply stayed in place

(D) rises in both phases because sanitiser is a health need

**35.** A trader buys handicrafts from village artisans for a pittance, sells them at a huge mark-up, and pays the artisans almost nothing. A 'fair trade' approach would instead aim to:

(A) pay the artisans even less so the trader's mark-up grows larger

(B) remove all prices so the handicrafts become free for buyers

(C) forbid the artisans from ever selling their work in any market

(D) ensure the artisans receive a fair, reasonable price for their work rather than being squeezed to the lowest amount

**36.** A market table shows at 50 rupees buyers want 200 and sellers offer 200, and at 60 rupees buyers want 180 and sellers offer 240. A seller insists on charging 60 to earn more per unit. The most likely result is:

(A) at 60 a surplus appears (240 offered, only 180 wanted), so 60 unsold units pile up; the clearing price is 50 where both sides equal 200

(B) 60 is best because the higher price always means more total earnings

(C) at 60 a shortage appears, so buyers will pay even more

(D) no clearing price exists because the quantities differ at 60 rupees

**37.** A child swaps a comic for a friend's toy car with no money changing hands; later the same child buys a comic from a shop for 80 rupees. Which transaction is a market transaction, and what is the deciding feature?

(A) the free swap is the market transaction, because any exchange is a market

(B) both are market transactions, because both involve two people exchanging items

(C) neither is a market transaction, because a market requires the internet

(D) the 80-rupee shop purchase is the market transaction, because it has a buyer, a seller and an agreed price, which the free swap lacks

**38.** A government must decide whether to (i) subsidise school meals, (ii) set quality standards for packaged baby food, and (iii) maintain street lighting. Matching each action to the role it serves:

(A) all three are taxes the government collects from citizens

(B) the subsidy lowers a price to make a good affordable, the quality standard protects consumers who cannot easily judge safety, and the street lighting provides a public good available to all

(C) all three are subsidies that simply lower prices

(D) all three are certification marks placed on products

**39.** A buyer notices that the same brand of soap costs 22 rupees at a wholesale lot of 50 bars but 30 rupees for one bar at the corner shop. The best explanation for the per-bar difference is:

(A) the corner shop's soap is a different, inferior product despite the same brand

(B) the wholesale price is fake and is never really paid by anyone

(C) the corner shop is secretly the manufacturer and so charges more

(D) the corner shop adds the cost of breaking bulk, storing, displaying and selling single bars conveniently nearby, plus a margin, while the wholesaler sells huge quantities with lower handling per bar

**40.** A region needs steel it does not produce and exports surplus cotton it grows plentifully. Which statement best explains why both this cross-border trade AND a local village haat exist for the same underlying reason?

(A) cross-border trade exists for taxes while the haat exists only for socialising, so the reasons are unrelated

(B) both exist only because the government orders each region and village to trade

(C) the haat exists to make goods while cross-border trade exists to ban goods

(D) in both cases no single party can produce everything it needs, so people and regions trade what they have plenty of for what others make, whether across a border or within a village

**41.** An overpriced seller, a below-cost seller and a clearing-price seller all offer identical pens. A buyer hunting only for the 'lowest price' would pick the below-cost seller. Why might that buyer end up worse off over time?

(A) the below-cost seller cannot keep losing money, so he soon stops selling, leaving the buyer to rely on the sustainable clearing-price seller anyway

(B) the buyer is always better off, because the lowest price has no downside ever

(C) the buyer is worse off only because below-cost pens are illegal to own

(D) the buyer is worse off because the clearing-price seller will be forced to raise prices to match

**42.** A buyer wants three assurances at once: that a sack of loose graded wheat is well graded, that a new ceiling fan is energy-saving, and that a packaged biscuit is safe to eat. The marks she should check are, respectively:

(A) AGMARK on the wheat, BEE Star on the fan and FSSAI on the biscuit

(B) FSSAI on the wheat, AGMARK on the fan and BEE Star on the biscuit

(C) BEE Star on the wheat, FSSAI on the fan and AGMARK on the biscuit

(D) ISI/BIS on the wheat, FSSAI on the fan and BEE Star on the biscuit

**43.** A trader argues that since prices rise when demand exceeds supply, he should deliberately create a shortage of medicines during an outbreak to charge more. Evaluating this within the chapter's idea of the government's role:

(A) the trader is right, because the highest possible price is always the best outcome for everyone

(B) the government controls prices and protects society precisely to prevent such exploitation, so deliberately starving supply of an essential medicine works against the public good the government safeguards

(C) the trader is right, because the government never interferes with any market price

(D) the trader is wrong only because medicines are not sold in markets at all

**44.** A handloom collective in one state sells scarves to buyers across the whole country and also to a few buyers abroad. Which description correctly labels the home-country sales and the foreign sales?

(A) both the within-country and the abroad sales are imports for the collective

(B) the within-country sales are exports and the abroad sales are domestic trade

(C) the sales within the country are domestic-market trade, while the sales to buyers abroad are exports

(D) both are domestic sales because the same collective made all the scarves

**45.** At 5 rupees buyers want 800 and sellers offer 300; at 10 rupees buyers want 500 and sellers offer 500; at 15 rupees buyers want 300 and sellers offer 700. As the price rises from 5 to 15 rupees, the quantity buyers want _____ and the quantity sellers offer _____, and they balance at:

(A) rises, falls, and they balance at 5 rupees where buyers want the most

(B) falls, rises, and they balance at 15 rupees where sellers offer the most

(C) falls, rises, and they balance at 10 rupees where both equal 500

(D) stays constant, stays constant, and they never balance at any price

**46.** A city square hosts a daily market where traders from many regions and faiths buy and sell, share meals and celebrate festivals together. A visitor says 'this proves a true market must NOT charge prices, because it is really about community.' The best correction is:

(A) the square is both a price-charging market and a community space; its social role adds to, but does not replace, the buying and selling at agreed prices

(B) the visitor is right, because a real market never charges prices

(C) the visitor is right, because community spaces and markets can never overlap

(D) the square is not a market at all, because markets cannot host festivals

**47.** A buyer must choose between (i) a phone with the ISI/BIS mark, (ii) the same phone uncertified but 5 percent cheaper, and (iii) a phone with only a glossy advertisement and no mark. The chapter's reasoning supports choosing:

(A) the uncertified cheaper phone, because the lowest price is always the smartest buy

(B) the ISI/BIS-marked phone, because the mark assures the manufactured good meets Indian quality standards, a benefit worth more than a small price saving or a flashy advertisement

(C) the phone with only the advertisement, because a bright advertisement proves quality

(D) any of the three, because certification marks tell a buyer nothing useful

**48.** A distributor stores and ships goods across a state to many shops; a wholesaler buys 10,000 units in one deal; a retailer sells five or six units a day to passers-by. Which trader most directly solves the problem of getting a manufacturer's goods to MANY scattered small towns, and which most directly solves a household's need for a SINGLE unit?

(A) the wholesaler solves both, because buying in bulk covers every need

(B) the retailer solves the scattered-towns problem and the distributor sells single units to homes

(C) the producer solves both directly, so no intermediaries are needed

(D) the distributor solves the scattered-towns problem by moving goods across distance to many shops, while the retailer solves the single-unit need by selling small amounts to households

**49.** During a drought wheat supply shrinks while demand holds, and the price climbs. A trader hoards extra wheat to sell later at the peak. Then rains return, the next harvest is huge, and the trader still holds his hoard. The most likely outcome for the trader is:

(A) the bumper harvest floods the market and the price falls, so the hoarded wheat now fetches less than the peak he was waiting for, and he may even take a loss

(B) the price keeps climbing forever, so the trader profits enormously from the hoard

(C) the price stays frozen at the drought peak, so the hoard is risk-free

(D) the wheat becomes free, so the trader loses nothing and gains nothing

**50.** A producer sells directly at a farmers' market for 40 rupees per kg; through a long chain the same produce reaches a distant city shop at 64 rupees per kg. A shopper in that distant city argues the 24-rupee gap is 'pure robbery.' The best-grounded reply is:

(A) the gap mostly pays for the transport, storage and bulk-breaking that carry the produce across distance into small lots, services the shopper benefits from and could not easily arrange herself

(B) she is right, because any price above the farm price is always robbery

(C) the gap is a single government tax charged once on the produce

(D) the gap means the city produce is a different, lower-quality crop

**51.** A market sells masks. Suddenly demand jumps a little AND supply jumps a lot at the same time. The most accurate prediction for the price is:

(A) the price rises sharply, because demand rose at all

(B) the price tends to fall, because the large rise in supply outweighs the small rise in demand

(C) the price stays exactly the same, because both demand and supply rose

(D) the price cannot change unless only one of demand or supply moves

**52.** A village has a weekly haat, the nearest city has a permanent bazaar, the country has a national domestic market, and goods also flow to and from other countries. Ordering these by the SIZE of the area each typically serves, from smallest to largest, gives:

(A) trade across countries, then the national market, then the city bazaar, then the haat

(B) the weekly haat, then the city bazaar, then the national domestic market, then trade across countries through exports and imports

(C) the national market, then the haat, then trade across countries, then the city bazaar

(D) they all serve exactly the same area, so no order applies

**53.** A buyer reasons: 'Because plentiful supply pushes prices down, I will wait to buy umbrellas in the dry season when no one wants them, expecting the lowest price.' Within the chapter's logic, this reasoning is:

(A) wrong, because demand has no effect on price at any time of year

(B) sound in part, because weak dry-season demand against available stock does tend to lower the price, so waiting can fetch a cheaper umbrella

(C) wrong, because umbrellas may be sold only in the rainy season by law

(D) wrong, because prices are always highest when demand is lowest

**54.** A buyer claims that because a market just needs buyers, sellers and a price, the government has no business interfering in any market at all. The chapter's response would be that:

(A) the buyer is right, because the government plays no role in any market

(B) the buyer is right, because a market with buyers, sellers and a price is always perfectly fair on its own

(C) even though those three are the essentials of a market, the government still has roles such as controlling prices, ensuring quality and safety, giving subsidies and providing public goods, so it does have a legitimate part to play

(D) the buyer is wrong because a market does not actually need buyers, sellers or a price

**55.** A retailer pays a wholesaler 18 rupees per pen, then sells pens at 25 each, spending 3 per pen on shop rent and display. His margin per pen, and what it represents, are:

(A) 4 rupees per pen, his profit after covering the 18-rupee purchase and the 3-rupee selling costs, in return for breaking bulk and selling conveniently nearby

(B) 7 rupees per pen of pure profit, since he need not count any selling costs

(C) 3 rupees per pen, exactly equal to the rent and display cost

(D) zero, because retailers are forbidden to earn a margin

**56.** A consumer wants to confirm a packaged drinking-water bottle is safe to drink and that the electric water-purifier she also wants meets manufacturing standards. The marks she should look for are, respectively:

(A) FSSAI on the drinking-water bottle, since it is a food product, and ISI/BIS on the purifier, since it is a manufactured electrical good

(B) ISI/BIS on the water bottle and FSSAI on the purifier

(C) AGMARK on the water bottle and BEE Star on the purifier

(D) BEE Star on the water bottle and AGMARK on the purifier

**57.** A student writes a single summary sentence: 'A market is any buyer-seller-price arrangement; the cheapest seller is always best; and middlemen only inflate prices.' How many of the three clauses are correct, and which are wrong?

(A) all three clauses are correct as written

(B) only the second clause is correct, since the cheapest is always best

(C) none of the three clauses is correct

(D) only the first clause is correct; the second is wrong because a below-cost price dries up supply, and the third is wrong because middlemen add real value through transport, storage and bulk-breaking

**58.** A buyer compares the same shirt at a wholesale lot (per-shirt 220), a city retail shop (340) and an online aggregator listing many sellers (lowest listed 310 plus 30 delivery). She needs exactly one shirt delivered to a remote village with no nearby shop. The chapter's reasoning best supports:

(A) the wholesale lot, because 220 is the lowest per-shirt figure shown

(B) the city retail shop, because a retail shop is always the cheapest option

(C) none, because an online aggregator with delivery is not a real market

(D) the online aggregator, because it reaches her remote location, lets her compare many sellers and supplies a single shirt, even though the total of 340 matches the city shop she cannot reach

**59.** Two situations: (i) demand for raincoats rises sharply while supply falls because a factory shut; (ii) demand for raincoats falls while supply rises after a new factory opens. The price effects are, respectively:

(A) in (i) the price falls and in (ii) the price rises, the reverse of what the shifts imply

(B) in both the price stays the same because two forces always cancel out

(C) in (i) the price rises strongly because demand rose while supply fell, and in (ii) the price falls because demand fell while supply rose

(D) in (i) the price rises and in (ii) the price also rises because raincoats are seasonal

**60.** A long supply chain carries soap from a factory through a wholesaler, a distributor and a retailer to a buyer, while a farmer at a weekend market sells vegetables straight to families. A student concludes 'longer chains are always wasteful and shorter chains are always better.' The most accurate judgment is:

(A) the student is right, because shorter chains are always cheaper and better in every case

(B) the student is right, because every intermediary is wasteful by definition

(C) neither is always better; a long chain is worth its cost when goods must travel far and be broken into small lots, while a short chain helps when the maker can handle selling and the buyer is close

(D) longer chains are always better because more traders always mean lower prices

# Solutions — Social Science (Class 7), Chapter 12: Understanding Markets — Paper 5

**Paper 5 — (progressively harder)**

Marking: **+4** correct, **−1** wrong, **0** unattempted. Maximum marks **240**.

## Answer Key

| Q | Ans | Q | Ans | Q | Ans | Q | Ans | Q | Ans | Q | Ans |
|---|---|---|---|---|---|---|---|---|---|---|---|
| 1 | D | 11 | B | 21 | D | 31 | B | 41 | A | 51 | B |
| 2 | C | 12 | B | 22 | B | 32 | B | 42 | A | 52 | B |
| 3 | C | 13 | C | 23 | D | 33 | C | 43 | B | 53 | B |
| 4 | D | 14 | B | 24 | B | 34 | C | 44 | C | 54 | C |
| 5 | D | 15 | D | 25 | A | 35 | D | 45 | C | 55 | A |
| 6 | C | 16 | C | 26 | A | 36 | A | 46 | A | 56 | A |
| 7 | C | 17 | A | 27 | C | 37 | D | 47 | B | 57 | D |
| 8 | A | 18 | B | 28 | A | 38 | B | 48 | D | 58 | D |
| 9 | D | 19 | D | 29 | A | 39 | D | 49 | A | 59 | C |
| 10 | B | 20 | A | 30 | C | 40 | D | 50 | A | 60 | C |

Answer-key distribution: A = 15, B = 15, C = 15, D = 15.

---

## Worked Solutions

**1. (D)** The whole point of the just-right price is sustainability plus assurance. Q sells at 41 against a 45-rupee cost, a loss of 4 per litre, so he will soon stop selling or cut corners; he also offers no FSSAI safety guarantee. P charges 48 against a 44-rupee cost, covering costs with a small margin AND carrying the food-safety mark, so she can keep supplying safe milk. Picking the lowest number ignores that a below-cost price dries up supply. Demanding a price exactly equal to cost is wrong because a seller with zero margin cannot survive shocks or restock. Dismissing the FSSAI mark ignores that it certifies food safety, a real reason to prefer P even at a few rupees more.

**2. (C)** A market clears where the quantity buyers want equals the quantity sellers will offer; at 24 rupees both are 360, so that is the just-right price. The student looked only at demand (600 at 12 rupees) and ignored that sellers offer only 250 there, leaving a large shortage. The 36-rupee row has the largest supply but a glut (520 offered, only 200 wanted), so it is not the clearing point. A clearing price DOES exist here precisely because one row has the two quantities equal, refuting the claim that they never match.

**3. (C)** When both sides move the same way, the price depends on which shift is larger. Here supply fell more sharply than demand, so relative to the buyers still present there are now even fewer shawls, pushing the price up. Concluding it falls just because buyers decreased ignores that sellers decreased even more. Saying it stays the same assumes the two falls were equal, which the scenario denies. Dropping to zero is wrong because there are still both buyers and a limited stock, so an exchange and a positive price remain.

**4. (D)** The wholesaler's rise is 980 minus 800 = 180; the retailer's rise is 1,160 minus 980 = 180; so each adds 180 rupees for the real services at that link. Crediting the whole 360 to the retailer ignores that the wholesaler also raised the price by 180 for bulk buying and onward supply. Calling it pure overcharging denies that each stage performs genuine work (transport, storage, breaking bulk). It is not one government tax, because the rise is split across two separate trading stages, each a private margin.

**5. (D)** Price is set by demand meeting supply, not by whether the good is labelled a need. When onions become scarce while people still want them as much, many buyers chase a smaller supply, so the price rises, not falls. The claim that a need's price always falls when scarce inverts the demand-supply rule. Reclassifying onions as a want misses the point; the same rule would apply to a want too. The government does not automatically make scarce needs free, so that escape route is also false.

**6. (C)** An intermediary adds value only by performing a service. X transports across distance, stores out of season and splits bulk into household sizes, all real services that justify the higher price. Y simply holds a crate briefly and passes it on without moving, storing or breaking it, so Y mostly raises price without adding value. Equal value is wrong because a higher selling price alone is not proof of service. Speed is not value, so Y is not superior. The chapter rejects the blanket claim that all intermediaries are useless, since X clearly is not.

**7. (C)** Export means selling goods produced at home to a buyer abroad; import means buying foreign goods and bringing them in. Indian tea going to Sri Lanka is an export; Indonesian palm oil coming into India is an import. Swapping the labels by value is wrong, because direction is set by which way the goods cross the border, not by which is costlier. Calling both exports ignores that one transaction brings goods IN. They are not domestic, since both cross a national border.

**8. (A)** A subsidy is money the government provides to bring a price down or support producers, so it makes the fertiliser cheaper for the farmer. Certification assures that the product meets a quality standard the buyer cannot easily judge alone. The first wrong option treats both as price-raising, the opposite of a subsidy's purpose. The second swaps the two roles. The last calls them taxes, but a subsidy lowers, not adds to, the price, and certification is a quality check, not a charge.

**9. (D)** A just-right price must at least cover the seller's cost. At 60 against an 85-rupee cost she loses 25, so refusing avoids a loss; a sensible settlement lies above 85 but below 120. There is no rule that first offers are always rejected; she rejects this one specifically because it is below cost. No law forbids selling below the asking price; sellers negotiate downward all the time, just not below cost. The quality of the basket is unrelated to why a below-cost price is refused.

**10. (B)** An aggregator app's role is to gather many sellers' offers so a buyer can compare them in one place; a retailer's role is to sell small quantities conveniently and close to home. So comparison goes to the app and the single nearby unit goes to the retailer. The wholesaler sells in bulk to shops, not single units to households, so it fits neither need. Assigning both to the app misreads the retailer's local single-unit role. The last option swaps the two roles entirely.

**11. (B)** When supply grows against steady demand, the earlier scarcity eases and the price drifts down toward a just-right level; a rival's phones add even more supply, reinforcing the fall. Claiming more output raises the price reverses the supply rule. A launch price is not locked forever; it moves as conditions change. The price does not need demand to vanish entirely; merely raising supply against unchanged demand is enough to lower it.

**12. (B)** A public good is accessible to all and is not used up by one person's use, and is usually provided by the government, exactly fitting the street light. The chocolate bar is used up by the one person who eats it, so it is private. The rented bicycle serves one rider at a time and is paid for and used up in that use, so it is private despite being rentable. Not everything people use is public; the defining test is non-using-up shared access, which only the street light meets.

**13. (C)** MRP is the maximum, inclusive of taxes, that a consumer may be charged; selling below it (26) is permitted, but selling above it (34) is not. Saying both are allowed ignores the ceiling on the upper price. Saying neither is allowed treats MRP as a fixed exact price, but it is only a maximum, so a lower price is fine. High demand does not let a shop break the MRP ceiling; the maximum holds regardless of season.

**14. (B)** FSSAI certifies food safety, so it belongs on the biscuits; ISI/BIS certifies manufactured-goods quality, so it belongs on the kettle; AGMARK grades farm produce, so it belongs on the rice. The other options scramble these domains, placing a farm-grading or appliance mark on food, a food mark on the appliance, and so on. Matching each mark to its exact purpose is the test, and only the first option does so correctly.

**15. (D)** Shortening the chain lets the farmer capture more of the price the buyer pays, but only if she takes on the transport, storage and selling that intermediaries would otherwise do. Direct selling is a choice, not a legal requirement, and the wholesale route is not banned. Cutting intermediaries does not make goods free; the families still pay, indeed a higher per-kg price. A shorter chain does not change the intrinsic quality of the tomatoes.

**16. (C)** The aggregator brings buyers, sellers and displayed prices together, which is exactly what defines a market, so the assertion is true and the reason explains it. The reason is not false: a market does not require the lister to own or make the goods, only to enable the buyer-seller-price meeting. The assertion is not false; an aggregator is squarely part of a market. The aggregator does show real prices, so the last option's premise is wrong.

**17. (A)** When demand and supply grow by similar amounts, their pressures roughly offset and the price barely moves, as in season one. When demand grows more than supply, buyers chase a relatively smaller stock and the price rises, as in season two. Saying it rises in both ignores that the first season's growth was balanced. Saying it falls in both ignores that demand also rose. Saying it is unchanged in both misses that season two had unequal shifts that push the price up.

**18. (B)** The length of a supply chain depends on the distance and the need to break bulk: the bakery is producer and retailer in one, so the chain is short, while Surat cloth crosses distance and is split through several traders, so the chain is long. There is no legal fixed number of intermediaries. Long chains are not automatic cheating; the extra hands add transport, storage and bulk-breaking value. Both factory and handmade goods can have supply chains, so the last option is false.

**19. (D)** Two forces both push the household's price down: more supply against the same demand eases the scarcity, and a subsidy is money that lowers what the consumer pays. Claiming both actions raise prices reverses how supply increases and subsidies work. Government action clearly can move prices, so the price does not stay locked. The released stocks do matter; greater supply against steady demand lowers price, so it is not the subsidy alone.

**20. (A)** Markets can be social and cultural centres in addition to their economic role; the Ima Keithal still has buyers, sellers and prices, so it remains a market while also being a meeting place. A social role does not cancel the economic core. The claim that women cannot run a market is false and is exactly what the Ima Keithal disproves. The Ima Keithal is a physical market, not online, so that correction is factually wrong.

**21. (D)** Storage is the value-adding service here: a wholesaler or distributor cold-stores the glut and releases mangoes over time, smoothing supply and preventing rot. A single consumer cannot and need not buy the whole harvest. Growing even more in the same fortnight worsens the glut rather than solving it. An exporter ships abroad and is not specifically the one who breaks bulk into small lots; storage, not export, is what bridges the season.

**22. (B)** A's clearing price is sustainable and attracts buyers; B's overpricing drives buyers to A, so B sells little; C's below-cost price cannot be sustained, so he exits the market. B does not earn the most, because an overpriced good loses customers. C cannot sell forever at a loss; below-cost selling drains his money until he stops. Price clearly affects how much buyers buy, so equal sales across all three is false.

**23. (D)** A permanent market is a fixed-place complex of shops trading continuously, which fits the city bazaar. The haat gathers only on fixed days and disperses, so it is periodic. The harvest fair is seasonal, returning once a year, not permanent. All four are genuine markets, so the claim that none counts unless inside a mall is false; the question only asks which is permanent, and that is the bazaar.

**24. (B)** The government's role includes protecting society and the environment, so it limits pollution even at some cost to factories, because public and environmental harm is the greater concern. It does not aim to help factories pollute more; that is the opposite of curbing pollution. The purpose is protection, not profit from unlimited pollution. And it is not to ban all manufacturing; markets and factories continue, just with limits on harm.

**25. (A)** An online market lets a buyer and a faraway seller transact through displayed prices and arranged delivery, widening reach beyond a single locality, which is exactly the benefit illustrated. Face-to-face contact is not an essential of a market; buyers, sellers and a price are. Handmade goods are traded just like factory goods, so that is no bar. The government did not arrange this private online sale, so the last option is false.

**26. (A)** Goods flow from the maker through the bulk buyer, then across distance to scattered shops, then to the small-quantity seller, and finally to the user: producer, wholesaler, distributor, retailer, consumer. Putting the retailer before the wholesaler reverses the bulk-then-small order. Placing the consumer second means the user receives the good before it has even been distributed. Placing the consumer in the middle again puts the final user before the retail stage, both impossible.

**27. (C)** The price rose 40 (130 minus 90), but 28 of that (22 plus 6) went to transport and storage, leaving a 12-rupee margin, which is his profit for the service of bringing the cloth across distance. The 40-rupee figure ignores his real costs, so it is not all profit. The 28-rupee figure is the cost he incurred, not his margin. Traders are allowed to earn a margin for genuine service, so zero is wrong.

**28. (A)** A market needs buyers, sellers and an agreed price or rate. The barter sets an agreed rate of grain for cloth, so it functions as a market exchange; the online sale has a displayed price, so it is a market. The free sticker swap has no price at all, so it is not a market. Not every exchange is a market; the free swap fails. A market need not use money or the internet, since a priced barter counts. And a permanent building is not required, so none-is-a-market is false.

**29. (A)** Direction is read from B's border. Rice coming into B from A is an import for B; machines made in B going out are an export for B. Labelling by whether a good is a need does not set trade direction, so the first wrong option fails. Both are not imports, because

B's own machines are leaving, an export. They are not domestic, because the goods cross between two countries, not stay within B.

**30. (C)** Intermediaries break bulk and bring goods close to buyers; without them, a family must deal with the producer, who typically sells large lots, making one bar costly and inconvenient. Goods do not become free just because traders vanish; the producer still charges. Removing the chain that delivers locally would make buying harder, not faster and cheaper. Producers do not hand-deliver single free bars to everyone, so that is fanciful.

**31. (B)** On the festival day demand surges against fixed supply, pushing the price up; the next day demand falls while supply is unchanged, so the price falls. More buyers do not make goods cheaper; they raise the price when supply is fixed. The price does not stay flat just because supply was constant, because demand changed sharply on each day. High demand does not make goods free; it raises, not zeroes, the price.

**32. (B)** Certification marks, label details and genuine buyer reviews are independent signals of safety and acceptability that a buyer can use even online. An advertisement's brightness says nothing about safety. The lowest price is no guarantee of quality and may even hide a problem. The seller's own promise is self-interested and not an independent check, so it cannot be the thing she relies on most.

**33. (C)** MRP is the maximum, taxes included, that a consumer may be charged, so selling below it to clear stock is permitted; the wholesaler is closer to right. The retailer is wrong because MRP is a ceiling, not a fixed exact price. It is not both a maximum and a minimum; there is no minimum set by MRP. MRP is not a government-only price; private sellers price up to it, so neither-is-right is false.

**34. (C)** In phase one demand's fivefold jump outpaced the tripled supply, so the price rises; in phase two demand fell back while the larger supply remained, so the price falls. It does not fall during the outbreak, because demand outgrew the supply increase. It does not stay flat, because the two phases had clearly unequal shifts. Being a health need does not freeze price upward in both phases; once demand drops against high supply, the price falls.

**35. (D)** Fair trade aims to give producers like the artisans a fair, reasonable price for their effort, correcting the exploitation. Paying them even less is the opposite of fairness. Removing all prices would make the handicrafts free, helping neither the artisans nor a functioning market. Banning the artisans from selling would cut off their livelihood entirely, the reverse of fair trade's goal.

**36. (A)** At 50 rupees demand equals supply at 200, the clearing price. At 60 rupees sellers offer 240 but buyers want only 180, a surplus of 60 unsold units, so insisting on 60 leaves stock unsold. A higher price per unit does not guarantee higher total earnings when many units go unsold. The gap at 60 is a surplus, not a shortage, so buyers will not bid the price up. A clearing price does exist, at 50, so the last option is false.

**37. (D)** A market needs buyers, sellers and an agreed price; the shop purchase has all three, so it is the market transaction. The free swap has no price, so although it is an exchange it is not a market transaction. Not every exchange is a market, so the free swap does not qualify. A market does not require the internet, so 'neither' is false; the shop purchase qualifies.

**38. (B)** Each action matches a distinct government role: a subsidy reduces price to aid affordability, a quality standard protects buyers from hidden risks, and street lighting is a public good open to all without being used up. They are not taxes; a subsidy and a public good cost the government, not the citizen. They are not all subsidies; a quality standard and street lighting are different roles. And only the standard relates to certification, so calling all three certification marks is wrong.

**39. (D)** The retail per-bar price is higher because the shop performs the service of breaking bulk and selling single units conveniently, adding handling cost and a margin, whereas the wholesaler's per-bar handling is lower on huge lots. Same brand means same product, so quality is not the reason. Wholesale prices are genuinely paid, not fake. The corner shop is a reseller, not the maker, so it is not the manufacturer charging more.

**40. (D)** Markets at every scale exist because no one produces everything they need: a region swaps surplus cotton for needed steel, and villagers swap their goods at a haat, the same principle of trading plenty for need. Taxes and socialising are not the core reason; the underlying driver is unmet needs and wants. Trade is not government-ordered; it arises from people's own needs. The haat does not make goods, and cross-border trade does not ban them; both are exchanges driven by needs.

**41. (A)** A below-cost price is unsustainable; that seller will exit, so the buyer who chased only the lowest price loses that source and must turn to the sustainable seller. The lowest price does have a downside: it may not last. Below-cost pens are not illegal to own, so that is not the reason. The clearing-price seller is not forced to raise prices to match a vanished competitor; the harm comes from the cheap seller disappearing, not from the fair seller's reaction.

**42. (A)** AGMARK grades farm produce, so it fits the wheat; BEE Star rates appliance energy use, so it fits the fan; FSSAI certifies food safety, so it fits the biscuit. The other options misplace these: a food mark on wheat or a farm-grading mark on a fan or biscuit, an energy label on wheat, and so on. Each domain has one correct mark, and only the first option lines all three up correctly.

**43. (B)** While scarcity does raise prices, the chapter notes the government's role in controlling prices and protecting society, so hoarding an essential medicine to profit harms the public and invites intervention. The highest price is not best for everyone; it harms buyers and society. The government does interfere to protect consumers, so the claim it never acts is false. Medicines are indeed sold in markets, so the last reason is factually wrong; the real objection is the harm to society.

**44. (C)** Trade within one's own country is domestic; selling to buyers abroad is exporting. So the national sales are domestic and the foreign sales are exports. They are not imports, since the collective is selling, not buying foreign goods. The labels are not swapped; selling at home is not an export, and selling abroad is not domestic. They are not all domestic just because one maker produced them; the foreign sales cross a border, making them exports.

**45. (C)** As price rises, buyers want less (800 to 500 to 300) so demand falls, while sellers offer more (300 to 500 to 700) so supply rises; they meet at 10 rupees where both are 500. Demand does not rise and supply fall as price climbs; that reverses both behaviours. The balance is not at 15, where supply (700) exceeds demand (300), a surplus. The quantities do change with price and they do balance at 10, so the constant-and-never-balancing option is false.

**46. (A)** Markets can act as social and cultural melting pots while still being markets that charge prices; the two roles coexist. The visitor is wrong that a real market charges no prices; buying and selling at agreed prices is the economic core. Community and market are not mutually exclusive; the very example shows them overlapping. Hosting festivals does not disqualify a place from being a market, so the last option is false.

**47. (B)** The ISI/BIS mark certifies that a manufactured good meets Indian standards, an independent quality assurance that outweighs a small saving or marketing gloss. The cheapest uncertified phone trades away a real quality guarantee for a minor discount. A glossy advertisement is not evidence of quality. Certification marks do convey useful information about quality and safety, so the claim they tell nothing is false.

**48. (D)** The distributor's defining role is moving goods across distance to many scattered shops, solving the geographic spread; the retailer's role is selling small amounts to final users, solving the single-unit need. The wholesaler buys in bulk to resell to shops and does not deliver single units to homes, so it cannot solve both. The roles are not swapped; the retailer does not cover distant towns and the distributor does not sell to households. The producer alone cannot efficiently reach every town and every single buyer, which is why intermediaries exist.

**49. (A)** Once the bumper harvest swells supply against steady demand, the price falls below the drought peak, so the trader's hoard is now worth less and he may lose money, showing the risk of hoarding against changing supply. The price does not climb forever; a big harvest reverses the scarcity. It does not stay frozen at the peak, because supply has changed dramatically. The wheat does not become free; it simply sells at a lower, post-harvest price.

**50. (A)** The 24-rupee difference reflects the real cost and value of moving the produce hundreds of kilometres, storing it and splitting it into household amounts, services the distant shopper relies on. A higher price than the farm gate is not automatic robbery; it buys genuine convenience and reach. The rise is spread across several trading stages, not one government tax. Same produce means same quality, so the gap is not because the crop is inferior.

**51. (B)** When both sides rise, the net effect depends on which moved more; here supply rose much more than demand, so the surplus pressure dominates and the price falls. A small demand rise does not produce a sharp price increase when supply rose far more. The price does not stay flat just because both moved, since the moves were unequal. Prices can absolutely change when both demand and supply move; the larger shift decides the direction.

**52. (B)** The areas widen from a single village haat to a city bazaar, then to a whole-country domestic market, then to international trade, so smallest-to-largest is haat, bazaar, national market, cross-border trade. The first wrong option reverses the order, going largest to smallest. The next jumbles the sequence, placing the national market before the local haat. They do not all serve the same area; a haat serves a village while imports and exports span countries.

**53. (B)** In the dry season few people want umbrellas while stock is available, so weak demand against supply tends to lower the price, making the buyer's wait a reasonable way to find a cheaper umbrella. Demand certainly does affect price, so the first objection is false. There is no law restricting umbrella sales to the rainy season. Prices are not highest when demand is lowest; low demand against supply pushes prices down, the opposite of the last claim.

**54. (C)** The buyer correctly names the essentials, but the chapter also lists government roles, controlling prices, assuring quality and safety, subsidising and supplying public goods, so government involvement is legitimate. The claim that the government plays no role ignores these duties. A market is not automatically perfectly fair; that is exactly why oversight exists. The buyer is not wrong about the essentials themselves; markets do need buyers, sellers and a price, so the last option misstates the chapter.

**55. (A)** His total cost per pen is 18 plus 3 = 21, and he sells at 25, leaving a 4-rupee margin, which is his profit for the retail service of breaking bulk and convenient nearby sale. The 7-rupee figure (25 minus 18) ignores the 3-rupee selling cost, so it is not pure profit. The 3-rupee figure is his cost, not his margin. Retailers may earn a margin for genuine service, so zero is wrong.

**56. (A)** Packaged drinking water is treated as a food product, so FSSAI certifies its safety; the purifier is a manufactured good, so ISI/BIS certifies that it meets standards. Swapping the two puts a manufacturing mark on water and a food mark on the appliance, which is wrong. AGMARK is for graded farm produce, not bottled water, and BEE Star rates energy, not water safety. The last option again misassigns an energy and a farm-grading mark to the wrong items.

**57. (D)** The first clause correctly defines a market. The second is wrong: the cheapest seller may be selling below cost and will stop, so cheapest is not always best. The third is wrong: middlemen add genuine value by transporting, storing and breaking bulk, not merely inflating prices. So exactly one clause is correct. All three correct is false because clauses two and three are wrong. The cheapest-is-best clause is the wrong one, not the right one. And the first clause is genuinely correct, so 'none correct' is also false.

**58. (D)** She is in a remote village with no shop, needs just one shirt, and wants to compare sellers; the aggregator does all this and delivers, so its 310 plus 30 = 340 total is justified by reaching her at all. The wholesale lot's 220 is per shirt only if she buys the whole bulk lot, which she does not need. A retail shop is not always cheapest, and crucially she cannot reach one. An online aggregator with buyers, sellers, prices and delivery is a genuine market, so 'none' is false.

**59. (C)** In (i) both forces push the price up, rising demand and falling supply, so the price rises strongly. In (ii) both push it down, falling demand and rising supply, so the price falls. The reverse claim contradicts the directions of the shifts. The two forces do not always cancel; here in each case they reinforce each other rather than offset. Seasonality does not make the price rise in (ii), where both forces clearly pull the price down.

**60. (C)** Chain length should fit the situation: long chains add value when goods cross distance and need bulk-breaking, while short chains suit local sales the maker can manage, so neither is universally better. Shorter is not always cheaper; cutting the chain that delivers far away can leave a remote buyer unserved. Intermediaries are not wasteful by definition; they add transport, storage and bulk-breaking value. More traders do not always lower prices; each adds a margin, so 'longer is always better' is equally false.